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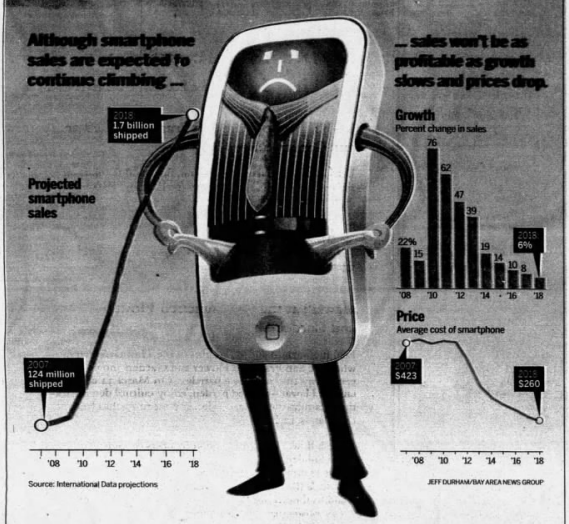
REVERSAL OF FORTUNE

Smartphone makers' profits shrink as sales growth slows



Source: International Data projections

JEFF DURHAM/BAY AREA NEWS GROUP

Trend spells trouble for companies that have long ridden the rapidly fading juggernaut, including Apple

By Steve Johnson
sjohnson@mercurynews.com

The smartphone business has generated staggering wealth for companies such as Apple and triggered a recent scramble by Hewlett-Packard and Intel to try for a piece of the action.

But it now looks like its best days may be behind it, a troubling trend for companies here and elsewhere that have hitched their fortunes to the smartphone juggernaut. Although smartphones remain wildly popular, their sales — about $338 billion last year — are growing at a slower pace and their prices are dropping fast, making it harder to wring a profit from them.

That comes at the worst possible time for Intel, HP and other Silicon Valley companies whose businesses heavily depend upon the personal computer. With PC sales dwindling, they've been urgently seeking ways to tap into the smartphone boom, but some analysts think they may be too late. Even mighty Apple is considered at risk because it gets the vast majority of its revenue from the iPhone.

"It's a huge problem for Apple" and "too little, too late" for HP, which recently introduced two smartphones to help compensate for its sluggish PC sales, said Bill Whyman of the International Strategy and Investment Group. For months, he has been predicting what he calls the "end of the great smartphone boom."

Some also worry about Santa Clara-based Intel, which makes most of its money selling chips for PCs and is trying to expand into smartphones.

"By the time they gain meaningful traction" in the phones, said Mark Li, an analyst for Bernstein Research,

See **PHONES**, *Page 9*

WHO OWNS A SMARTPHONE?

Sales growth has slowed and profitability's falling, but the market is not saturated.

55 percent Of adults in the U.S.

37 percent Of adults in China

21 percent Of adults in Mexico

11 percent Of adults in Indonesia

Source: Pew Research Center

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MISSING MALAYSIAN JET

'Ghost plane' flew for 7 hours

Search extends as officials think flight was intentionally taken

By Joel Achenbach, Chico Harlan, Ashley Halsey III
Washington Post

It was a good night for flying, with benign weather all the way to Beijing. Malaysia Airlines Flight 370, the red-eye from Kuala Lumpur, climbed for 20 minutes and leveled out at 35,000 feet, cruising at 472 knots over open water.

"All right, good night," the pilot said to air traffic controllers behind him in Malaysia. He was supposed to say hello soon to the controllers ahead of him in Vietnam.

The handoff never happened. Flight 370, with 239 people aboard, went silent. The transponder — the radar beacon that identifies a plane and its location — stopped transmitting. So did another communication system that

See **MALAYSIA**, *Page 9*

STATE PARTY CONVENTION

GOP keeps lid on expectations against Brown

By Josh Richman
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BURLINGAME — The two main GOP candidates for governor, Tim Donnelly and Neel Kashkari, aggressively wooed delegates at their party's state convention Saturday, despite party leaders' tactical decision to focus on down-ticket races instead this year.

Though still a focus of delegates' attention, the top-of-the-ticket candidates for the first time in recent memory were receiving a distinct "you're on your own" vibe from the party's highest echelons. And their reactions matched their personas.

"I have never heard such nonsense," Donnelly said Saturday. "It is a bunch of gibberish.

"We had to negotiate with our own party in order to speak here," added Don-

See **GOVERNOR**, *Page 9*

SEEKING DELEGATES

Top GOP candidates for governor are not in the spotlight.

Donnelly
Conservative legislator seen as "firebrand"

Kashkari
Moderate asset manager called "RINO."

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Individual investors join movement for 'Fossil Free' portfolios

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